

Varity Corp. (Machinery, NYSE, VAT)

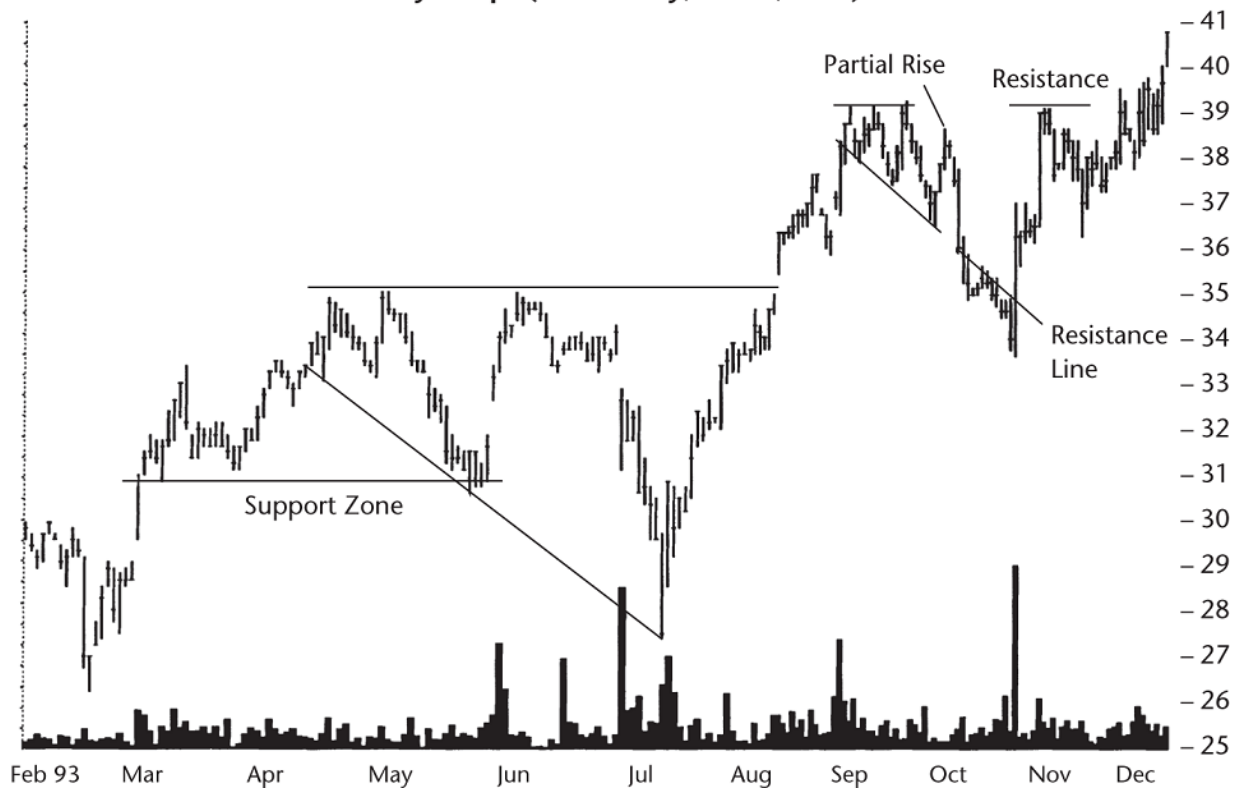


Figure 10.3 The left descending broadening pattern shows a trendline rebound resulting from earlier support. The right formation shows a partial rise that can predict a downward breakout. Shown are two resistance areas that follow the pattern's trendlines.

The stock ran into selling pressure from institutions and others trying to sell blocks of shares at a fixed price. The available supply of shares halted the advance. Price hung on for a few days, moved a bit lower, and paused before beginning a rapid decline to a new minor low.

As volume climbed, the stock declined until it touched the lower trendline, a region of support. Suspecting an oversold stock, investors bought and forced it higher again. When the stock reached the old high, there were fewer shares available for purchase. Investors and institutions who were trying to get 35 a share for their stock sold most of their shares in the preceding months. Soaking up the available supply, the stock gapped upward and closed above the old high. An upward breakout was at hand.

The stock moved higher but soon formed another descending broadening pattern (the right one, in August). This one was compact and tight but had